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1-D:

When **no one can be made better off without making someone else worse off**, it means that the economy has reached a state of Pareto optimality. This means that resources are being used in the most efficient way possible, and any further changes would lead to a loss for at least one individual.

In other words, the economy has achieved an optimal allocation of resources, and any attempts to make someone better off would come at the expense of someone else.

It can be said that the resources of the economy are allocated efficiently because we are operating on the production possibility curve. This explains why key D will be correct.

- A) Firms maximizing profits does not necessarily mean that resources are allocated efficiently.
- B) The absence of external costs or benefits is not a direct consequence of this condition.
- C) Perfectly equal distribution of income and wealth is not a requirement for Pareto efficiency.

Note: The other options do not involve the concept of “opportunity cost”

2-D:

Social benefits represent the sum of:

- Private benefits: the personal utility gained by the individual consuming the good
- External benefits: the positive effects experienced by the third party who is not directly involved in the transaction, such as improved public health, or reduced crime rates

This explains why key D will be correct.

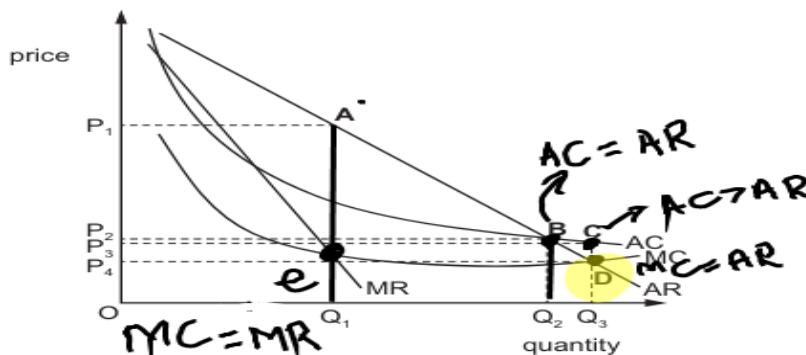
A) Government spending on social security benefits is a specific type of government expenditure, not a measure of social benefits.

B) Total government spending is not equivalent to social benefits.

C) External benefits from household consumption are a component of social benefits, but not the entirety of social benefits. ($SB = PB + EB$)

3-D:

At which point will allocative efficiency be achieved?



A – “A” represents the price level corresponding to the profit maximizing equilibrium where marginal cost is equal to marginal revenue.

B – “B” represents the normal profit equilibrium where $AC=AR$.

C – “C” represents a loss making situation because that is when Average cost is greater than Average revenue.

D – “D” represents allocative efficiency because that is where marginal cost pricing is employed or in other words, marginal cost is equal to price.

4-B:

The demand curve is downward sloping because it follows the law of diminishing marginal utility.

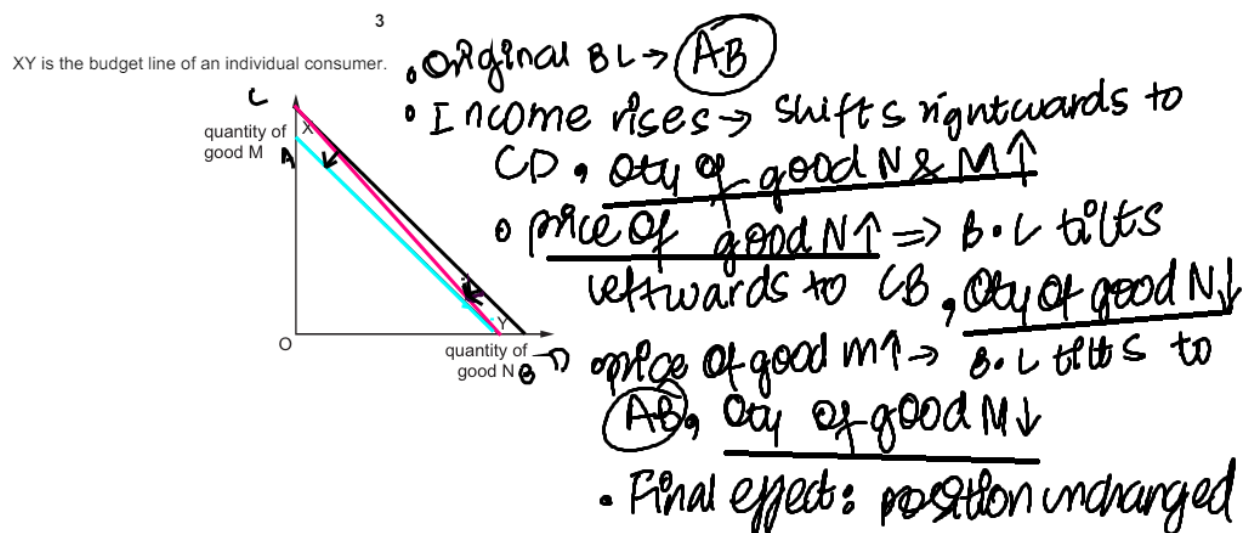
- As a consumer consumes more units of a good, the additional utility (satisfaction) gained from each successive unit decreases. This means that the marginal utility of each additional unit falls.
- As the marginal utility falls, the consumer is willing to pay less and less for each additional unit.
- This is reflected in the downward-sloping demand curve, where the quantity demanded increases as the price falls. As a result of which, key B, becomes correct.

A) Changes in spending power do not directly relate to the shape of the demand curve.

C) If marginal utility is greater than price, this represents the existence of consumer surplus.

D) Total utility does not increase indefinitely; instead, it increases at a decreasing rate when marginal utility diminishes.

5-D:



This explains why key D is correct.

A – Because of a fall in incomes, the quantities of both goods will fall. And because of a decrease in the price of good M, the qty of good M is expected to increase. Also, because of an increase in price of good N, the qty of good N is expected to fall. **The final impact will be a decrease in the qty of N.**

B – Because of a fall in incomes, the quantities of both goods will fall. And since prices have risen for both goods, the quantities of both goods will further decrease. **The final impact will be a decrease in the qty of both goods.**

C – An increase in income will result in an increase in the quantities of both the goods. And because of a rise in the price of good M, the qty of good M will decrease. Additionally, a fall in the price of good N will bring about an increase in the qty of N. **Overall impact will be an increase in the qty of N.**

6-A:

A rightward shift of the budget line represents an increase in “real income”

→ Because of a rise in income, the quantity of Y that is being demanded has contracted, which represents a negative relationship between income and demand, and this means **that good Y is an “inferior good”**

→ Because of a rise in income, the quantity demanded of good X has risen, which represents **the case of “normal goods”** where there is a positive relationship between income and demand.

7-C:

Monopsony is a market structure in which a single buyer purchases a particular good or service from many sellers, in this case, small farmers. The buyer has significant market power, allowing them to influence the price they pay for the rice. **In this scenario, the single buyer of rice from many small farmers makes it a monopsony.**

A) Monopolistic refers to a market with monopolistic competition, characterized by many firms selling differentiated products.

B) Monopoly is a market structure with a **single seller** of a particular good or service.

D) Perfect competition is a market structure with many sellers (1000s of them, each producing homogeneous products), where no single entity has market power since there is perfect information on part of producers and consumers.

8-B: Sales volume maximization occurs when the firm produces where $ATC=AR$

Maximise short-run market share = YES

- By switching to sales volume maximization, the firm aims to sell more units, even if it means reducing the price. This increases its market share, allowing it to gain a competitive advantage and potentially drive out competitors.

Increase short-run profits = NO

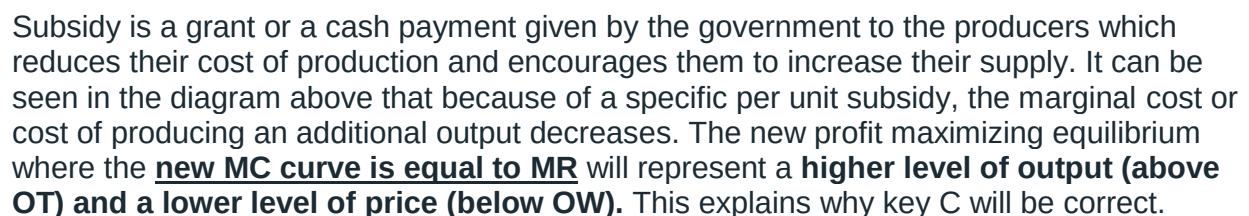
- In fact, the firm may sacrifice profit margin to achieve a higher sales volume. This is because, it will no longer be operating where $MC=MR$.

Minimise short-run average costs = NO

- The firm's objective change is focused on sales volume maximization, not cost efficiency. While producing more units might lead to some economies of scale, costs will not be minimized. This is because, the productively efficient level of output is where $MC = ATC$.

The diagram shows the marginal cost (MC), average cost (AC), marginal revenue (MR) and average revenue (AR) curves of a profit-maximising, monopolistically competitive firm.

10-C:



11-D:

The correct answer is D) They provide a more personal level of consumer service.

Small firms often survive by offering personalized services, niche products, or building strong relationships with customers. This allows them to differentiate themselves and attract customers who value these unique aspects.

A) Large firms often offer a wider range of products, not small firms.

B) Minimum efficient scale (MES) refers to the lowest output level at which a firm can produce at the lowest average cost. Large firms have a higher MES.

C) Small firms usually can't afford to pay higher wages than larger firms, which have more resources and economies of scale.

12-A:

The correct answer is A) Directors prefer company growth to greater shareholder dividends.

The principal-agent problem refers to a situation where the interests of the agents (directors or managers) conflict with those of the principals (shareholders). In this case, directors may prioritize company growth over distributing profits to shareholders as dividends, as their personal interests may be tied to the company's growth rather than shareholder value.

B) Managers prioritizing their interests over workers' safety concerns is not an example of a principal agent problem.

C) If shareholders determine the price of the product, they will set a profit maximizing level of price, which will reduce the possibility of a principal agent problem.

D) This is a labor dispute scenario, unrelated to the principal-agent problem.

13-D:

To reduce the negative externalities of coal use (e.g., pollution, environmental damage), the government should incentivize alternative, cleaner energy sources like wind power. Subsidizing wind-powered electricity production makes it more competitive with coal, encouraging a shift towards cleaner energy and reducing the negative externalities associated with coal use. **This explains why key D will be correct.**

A) Taxing hydroelectric power, a clean energy source, would increase its cost and potentially lead to more coal usage.

B) Increasing income tax would not specifically address the coal-related externalities.

C) Removing restrictions on coal production would likely increase coal use and worsen the negative externalities.

14-D:

"Nudge" theory refers to subtle changes in the environment that influence people's behavior in predictable ways, without limiting their freedom of choice.

Nudge theory aims to influence behavior through subtle environmental changes, like visual cues or default options, rather than economic incentives or restrictions.

In this case, placing fresh fruit at eye level in shops is a nudge, as it makes the healthy option more visible and convenient, encouraging consumers to choose it without restricting their choices.

A) A subsidy on fresh fruit is an economic incentive, not a nudge.

B) A unit tax on unhealthy food is a deterrent, aiming to reduce the quantity consumed through economic disincentives.

C) Banning unhealthy food is a regulation that restricts consumer choice.

15-B:

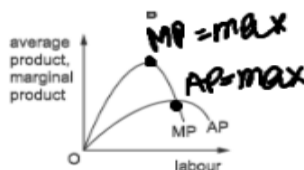
A) When redistribution is done from the rich to the poor, this represents that low-income groups will have more money in hand, eventually leading to them consuming more, which will boost Aggregate demand, thereby exacerbating demand pull inflation.

B) Income redistribution from the rich to the poor is often justified on the grounds of promoting **greater equity in society, even if it may not be the most efficient use of resources**. This approach prioritizes social justice and fairness over purely economic considerations. **This is why, key B, is correct.**

C) This option is unrelated to income redistribution. Redistribution aims to reduce income inequality, not incentivize entrepreneurship or innovation.

D) Rich having higher marginal utility curves than poor is unrelated to redistribution of income.

16-B:



It is the "marginal product of labour" which reaches its maximum the first.

Regardless of whether marginal itself is rising or falling, the average product of labour continues to rise or slope upwards, as long as the marginal product of labour is above it, or greater than it.

Similarly, the average product of labour falls as soon as the marginal product of labour is lesser than the average product of labour, this is why, the intersecting point of marginal and average represents the "maximum of average"

Therefore, the API is the second to reach the maximum.

17-D:

If wages in industry X are significantly higher than in industry Y, it could be because industry Y offers non-monetary benefits that compensate for the lower wages, such as:

- Better working conditions
- Job security
- Flexible working hours

These non-monetary advantages might make industry Y an attractive option for workers, even with lower wages. **This explains why key D is correct.**

A) High mobility in industry Y would likely lead to higher wages, as workers could easily switch to higher-paying jobs.

B) Strong trade union organization in industry Y would likely lead to higher wages, as unions fight for better compensation and benefits.

C) Competition for workers between industries X and Y would likely drive up wages in industry Y.

18-A:

A) This situation indicates a definite increase in living standards because a rise in real incomes means that people have more purchasing power and can afford more goods and services and a fall in hours worked indicates that people have more leisure time and a better work-life balance. **This is why option A becomes correct.**

B) While China's economic growth led to a rise in real GDP per head, the decrease in air quality in urban areas might offset the benefits of economic growth, making it uncertain whether living standards have truly increased.

C) The increase in resources devoted to treating childhood obesity will have an opportunity cost, as these resources may now not be available for competing uses.

D) A small increase in the Gini-coefficient indicates a slight increase in income inequality, which might not necessarily mean that living standards have increased for all segments of the population.

19-A: **Key take-away: Remember, National Income accounts aim to capture the economic activity generated by the production and exchange of goods and services, not transfer payments or voluntary transfers like gifts.**

National Income accounts record economic transactions that involve the production, distribution, and use of goods and services. Gifts, like the one described, are not considered economic activity because they don't involve an economic transaction. This explains why key A will be correct.

B) Earnings of a part-time worker in a school dining room are part of the compensation of employees, a component of National Income.

C) Interest earned on savings accounts intended for retirement is part of interest income, also included in National Income.

D) Profits reinvested by a company to fund capital expenditure are part of business investment, a component of Gross Domestic Product (GDP) and National Income.

20-C:

A - Implementing and enforcing health and safety standards for workers can increase costs for businesses, which could potentially deter foreign investors seeking to minimize costs.

B - Increased import quotas (option B) would actually allow more imports into the country, since it represents that more of the goods can be imported into the country, which could lead to increased competition for domestic businesses and potentially reduce the attractiveness of the domestic market for foreign direct investment (FDI). With more imports allowed, the domestic market may become saturated, reducing the incentive for foreign investors to invest in local production.

C - Increased spending on infrastructure, on the other hand, can create a more conducive business environment that attracts foreign direct investment. Improved infrastructure can reduce transportation costs, increase efficiency, and provide a more stable and reliable operating environment. **This explains why key C becomes correct.**

D - Introducing a minimum wage could increase labor costs and potentially deter foreign investors seeking to minimize costs.

21-D:

Population size does not necessarily indicate the level of economic development.

- A large population does not necessarily mean a country is economically developed. For example, Nigeria has a large population but struggles with poverty and economic instability.
- A small population does not necessarily mean a country is economically underdeveloped. For example, Singapore has a small population but is a highly developed economy.

This explains why key D is correct.

A - A high adult literacy rate indicates a country has invested in education and has a skilled workforce, which is essential for economic development.

B - A high life expectancy indicates a country has a healthy workforce, which is essential for economic productivity and development.

C - Real GNP per head adjusts GNP for inflation and population growth, providing a more accurate picture of a country's economic well-being. A high real GNP per head indicates a country has a strong economy, high incomes, and a high standard of living.

22-B:

Frictional unemployment occurs when people are temporarily unemployed while they are in between jobs. An example is **search unemployment** that occurs when workers are changing jobs, or searching for a job that matches their skills and preferences. This type of unemployment is a normal part of the labor market and is usually short-term.

A) Cyclical unemployment: This type of unemployment occurs when the economy enters a recession, arising as a result of a decrease in aggregate demand, and so there is a reduction in the number of jobs available throughout the economy across a vast range of industries.

C) Seasonal unemployment: This type of unemployment occurs when industries that are sensitive to seasonal fluctuations, such as agriculture or tourism, reduce their workforce during the off-season.

D) Voluntary unemployment: This type of unemployment occurs when workers choose not to work, often because they are not willing to accept the going wage. This is usually because of a lesser difference between unemployment benefits and the take home pay of the employed.

23-D:

The employment rate is defined as a measure of the extent to which available labour resources (people available to work) are being used.

The number of people of working age who are not actively seeking work represent the category of people who are not in the labor force.

Given:

- The total number of people of working age = 42.7 million
- The number of people not in the labor force = 9.4 million

The no of people of working age who are not actively seeking work represent the category which is not in labor force.

Since No of people of working age (42.7) = **labor force + not in labor force(9.4)**, this means that the labor force will be **42.7-9.4 i.e. 33.3 million**.

Now, labor force= employed+ unemployed. So to calculate employed, we'll subtract **unemployed (2.2 million) from the labor force (33.3 million)**.

This means that the number employed are 31.1 million. Now, employment rate will be calculated as **(employed/ labor force)*100-> 31.1/33.3*100-> 93.39%**

Since this is closest to 95%, key D will be the answer.

Since the employment rate is closest to 95%, the correct answer is option D.

This is why option D is correct

24-B:

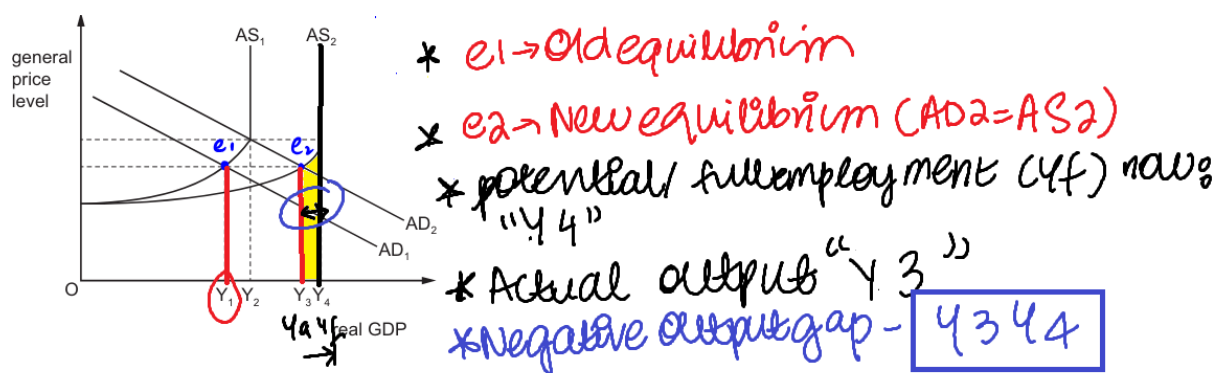
A) This outcome can harm the environment. With more vehicles on the road, there will be increased greenhouse gas emissions, air pollution, and resource depletion.

B) This outcome can actually benefit the environment. With fewer people to support, the demand for resource-intensive goods and services decreases, leading to less resource extraction and processing, lower greenhouse gas emissions, and reduced waste generation. This can result in a more sustainable future and a reduced burden on the environment.

C) This outcome can harm the environment. The shift from agriculture to manufacturing can lead to increased industrial pollution.

D) This outcome can harm the environment. Accessing previously inaccessible resources can lead to overexploitation, leading to increased resource depletion.

25-D:



26-C:

Key takeaway:- Keynesian concept of multiplier

This statement is associated with Keynesian economic theory, which emphasizes the importance of aggregate demand (total spending) in determining economic activity. According to Keynesians, changes in aggregate demand **bring a multiplier times increase in real income/output and expenditure.**

Here's why the other options are not associated with Keynesian theory:

A) This statement is more related to Monetarist theory, which emphasizes the role of the money supply in determining inflation. **(Ref. The Qty theory of money)**

B) According to monetarists, the economy will be experiencing natural rate of unemployment in the long-run, and any attempts to reduce this, will accelerate the rate of inflation. **This can be linked with the expectations augmented Philips curve.**

D) This statement is actually the opposite of Keynesian theory, which assumes that wages and prices are sticky, leading to the need for government intervention. Flexible wages and prices are more associated with monetarist economic theory.

27-B:

Closed economy with no government sector represents a two sector economy:

$$Y = AE$$

$$C + S = C + I$$

Cancelling C with C leaves us to $S = I$

This represents that in a two sector economy, the multiplier effect shows the impact of changes in investment on Real national income.

In a closed economy with no government sector, the multiplier represents the magnified effect of a change in investment (or autonomous spending) on national income (or GDP).

Here's why the other options are incorrect:

A) The multiplier does not show the impact of consumption on investment.

C) The impact of a change in national income on consumption is explained through **marginal propensity to consume**.

D) The multiplier does not directly show the impact of national income on investment. **Instead, accelerator theory helps us to understand the impact of changes in national income on induced investment**

28-C:

Country X:-

+500 (foreign earnings rose) - 250 (half deposited in country Y's banks)

➔ + 250

Country Y :- +250(inflow from country Y) - 400 (rise in foreign expenditure) -> -150

This explains why key C is correct.

29-C:

A) The Laffer curve does not show this relationship. This relationship is actually depicted by the Phillips Curve, which suggests that there is a trade-off between unemployment and inflation.

B) The Laffer curve is not related to this concept. The relationship between interest rates and speculative demand for money is a concept in monetary economics, which deals with the demand for money and its relation to interest rates.

C) The Laffer curve indeed shows this relationship. It suggests that as tax rates increase, government revenue initially increases, but eventually decreases as high tax rates discourage economic activity and lead to tax evasion.

D) The Laffer curve is not related to this concept. This relationship is actually depicted by the Production Possibility Frontier (PPF), which shows the various combinations of two goods that can be produced given the resources available.

30-C:

- Argentina had a negative economic growth rate (-6.2%) and a high unemployment rate (9.1%)
- Italy had a low economic growth rate (0%) and a high unemployment rate (10.7%)

This suggests that there is a relationship between economic growth rates and unemployment rates, with low or negative growth rates associated with high unemployment rates.

The other options are not supported by the data:

A) Italy had a current account surplus (2.6%) but a high unemployment rate (10.7%).

B) China had a high economic growth rate (6.4%) but a low inflation rate (1.5%).

D) United States had a current account deficit (-2.4%) despite having a positive economic growth rate (3.0%), while China had a current account surplus (0.4%) despite having a high economic growth rate (6.4%).

